IMPARTIAL ANALYSIS OF MEASURE "R"

On July 16, 2026, the City Council of the City of Rancho Mirage unanimously voted to place Measure R (the "Measure") on the ballot for the November 3, 2026, General Election, in compliance with Article XIII C (Proposition 218) of the California Constitution.

If approved by a majority of the voters, the Measure would adopt an ordinance adding Chapter 3.22 to Title 3 of the Rancho Mirage Municipal Code establishing a one percent (1%) transactions and use tax (commonly referred to as a "sales tax") within the City of Rancho Mirage (the "City") and would remain in effect indefinitely unless and until ended by the voters of Rancho Mirage at a future election. The City estimates that the Measure could generate approximately $7,500,000 annually in additional revenue.

This tax would be a "general tax", meaning that revenues generated from the tax would be deposited into the City's General Fund and may be used for any lawful governmental purpose as determined by the City. Such purposes may include, but not be limited to:

- maintaining City services;
- 911 emergency medical and fire response;
- crime prevention services;
- maintaining streets, roads, parks, library and fire stations;
- economic development efforts, including retaining and attracting local businesses; and
- other City services, improvements and programs.

This tax would be paid in addition to current sales taxes and would be collected at the same time and in the same manner as existing sales taxes. All revenues raised by the tax would remain with the City and cannot be taken by the State, County or any other agency.

The Measure includes accountability provisions, including the requirement that the proceeds of the tax and related expenditures be audited annually by an independent accounting firm as part of the City's regular financial audit.

A "YES" vote is a vote in favor of adopting the Measure establishing the one percent (1%) transactions and use tax.

A "NO" vote is a vote against adopting the Measure establishing the one percent (1%) transactions and use tax.

The above statement is an impartial analysis of Measure R. If you desire a copy of the Measure, please call the City's elections official's office at (760) 324-4511 and a copy will be mailed at no cost to you.

s/ Colin D. Kirkpatrick, City Attorney
City of Rancho Mirage

ARGUMENT IN FAVOR OF MEASURE "R"

Vote YES on Measure R, Protect Rancho Mirage Quality of Life

The City of Rancho Mirage has historically maintained balanced budgets while providing high-quality public services. In recent years, costs of providing essential services have risen faster than existing revenues, a trend that is projected to continue.

Public Safety
Since 2020, **public safety costs have increased by more than 56%.** Public safety is the City's largest expenditure, representing half of the City's general fund operating expenses. Maintaining current service levels requires continued investment in personnel, equipment, emergency response capabilities and regional partnerships.

Infrastructure
The City maintains approximately 91 miles of streets and roads, along with sidewalks, traffic signals, drainage systems, public facilities, parks and fire stations. **Roadway replacement costs now exceed approximately $1.5 million per mile.** The City also faces aging public facilities; ADA accessibility improvements; fire station modernization and future capital replacement needs.

Economic & Revenue Challenges
The City relies heavily upon economically sensitive revenues, including hotel and sales taxes, which account for approximately half of the City's General Fund revenues. **Notably, an estimated 75% of sales tax revenue is paid by tourists and visitors.**

Measure R
Measure R would raise the local sales tax by one cent per dollar, in line with many neighboring cities, and is estimated to generate $7.5 million annually in locally controlled revenue. An estimated 75% of sales tax revenue is paid by tourists and visitors. Measure R does NOT impact medicine, rent, or most groceries.

Measure R would provide locally controlled funding to help maintain City services and infrastructure while protecting the quality of life residents expect.

Vote Yes for Rancho Mirage's Future.

Vote Yes for Rancho Mirage's Quality of Life.

Vote YES on Measure R.

By: Lynn Mallotto,
Mayor

NO ARGUMENT FILED AGAINST MEASURE "R"